5-3 Realities of International Trade

Learning Objective 5-3

Realize the importance of political realities governing international trade.

The political realities of the world suggest that as "rules of the game," plenty of trade barriers exist. Although some are being dismantled (see In Focus 5.2), many remain. Let us examine why this is the case. To do so, we will first discuss the two broad types of trade barriers: tariff barriers and nontariff barriers.

In Focus 5.2

Canada Diversifies Its Trade

Canada has the 11th-largest economy (measured by nominal GDP) or the 14th-largest (measured by PPP) in the world. The bilateral trading relationship between Canada and the United States is the world's largest, with approximately US$600 billion in volume. The two-way traffic that crosses the Ambassador Bridge between Windsor, Ontario, and Detroit, Michigan, alone equals all US trade with Japan. Approximately three-fourths of Canadian exports go to the United States, which also provides half of Canadian imports. While enjoying a US$32 billion surplus in trading with the United States, Canadians have been frustrated by the occasional disputes, such as salmon runs, magazine content, softwood lumber, and food labeling (for some details, see the first three editions of *Global Business*).

While disputes are resolved in bilateral negotiations or through NAFTA or WTO forums, Canadians have also sought to diversify their trading relationship away from too much reliance on the United States. They have focused on two areas. The first is to cultivate trade ties with major Asian economies, such as China and Japan. As Canada's second-largest trading partner, China now absorbs 5% of Canadian exports and contributes 10% of Canadian imports. The second area is to negotiate more free trade agreements (FTAs) beyond NAFTA. Canada has FTAs with Chile, Colombia, Costa Rica, Israel, Jordan, and Panama. While Canada is negotiating with a number of other countries, one of the major breakthroughs is the Comprehensive Economic and Trade Agreement (CETA) with the European Union (EU) announced in 2013. As a bloc, the EU is the largest economy in the world. CETA would not only eliminate 99% of tariffs on both sides, but would also open competition for large government contracts in Canada to European firms and contracts in the EU to Canadian firms. CETA is likely to boost the Canada–EU bilateral trade by 23%, thus reducing Canada's reliance on the United States, whose share has decreased but still remained dominant.

Sources: Based on *(1) Economist, 2011, Canada and the United States, December 19: 41; (2) Economist, 2013, Canada doesn't get any sexier than this, October 26: 18; (3) Economist, 2013, The Canada–EU trade deal, October 26: 44: (4) Globe and Mail, 2009, Canada turns to WTO over US label law, October 8: B7.*